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What Is CAPEX Funding?

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TABLE OF CONTENT

Sr.No.	TITLE	Page No.
1.	**Module 1:Product Overview & Core Fundamentals**	**4-6**
2.	**Module 2: How the Product Structure Works & Debt Facilities**	**7-8**
3.	**Module 3: Comparative Capital Architecture Matrix**	**9-11**
4.	**Module 4: Common Eligibility Criteria, Credit Appraisal & Underwriting Framework**	**12-13**
5.	**Module 5: Security Architecture, Documentation & Legal Framework**	**14-15**
6.	**Module 6:Indicative Tenure, Pricing Mechanics, Accounting & Tax Shields**	**16-17**
7.	**Module 7: Suitable Industries, Business Profiles & Market Alignment**	**18-19**
8.	**Module 8: Key Advantages and Strategic Limitations of CAPEX Funding**	**20-21**
9.	**Module 9: Comprehensive Real-World Case Study (Indian Rupee Models)**	**22-25**
10.	**Module 10: Regulatory Compliance, RBI IRACP Norms & Default Framework**	**26**
11.	**Module 11: Professional Certification Examination & Detailed Rationales**	**27-29**

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What Is CAPEX Funding?

Executive Summary & Educational Preface

Capital Expenditure (CAPEX) Funding represents the strategic financial backbone of industrial expansion, technological modernization, and infrastructure creation in the Indian economy. Designed to finance long-term physical assets—such as industrial land, factory buildings, heavy machinery, automated production lines, and specialized technology infrastructure—CAPEX funding bridges the critical temporal gap between upfront capital deployment and multi-year revenue generation. Unlike short-term working capital facilities that finance operational liquidity and daily inventory cycles, CAPEX funding provides structured, long-tenure capital tailored to match the economic useful life of underlying productive assets.

This comprehensive white paper reference textbook has been authored by financial product domain experts to serve as an authoritative, self-contained masterclass manual. Whether you are a corporate treasurer, commercial banker, financial advisor, CFO, or a rookie finance professional, reading this document provides an exhaustive, 360-degree institutional understanding of CAPEX Funding in India. From structural capital stack design and Techno-Economic Viability (TEV) appraisal to RBI regulatory guidelines, Section 32/36(1)(iii) tax shields, Ind AS 16/23 accounting, CERSAI/ROC charge registrations, and real-world Indian Rupee case study modeling, this white paper equips readers with the practical and theoretical knowledge required to master industrial capex debt financing.

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Module 1: Product Overview & Core Fundamentals

1.1 Definition & Statutory Framing of CAPEX Funding

Capital Expenditure (CAPEX) Funding refers to long-term credit facilities extended by commercial banks, Non-Banking Financial Companies (NBFCs), Development Finance Institutions (DFIs), and institutional private credit funds to corporate entities for acquiring, constructing, upgrading, or expanding long-term physical and productive assets. In the Indian financial ecosystem, CAPEX funding is primarily structured as **Rupee Term Loans (RTL)**, **Foreign Currency Term Loans (FCTL)**, **External Commercial Borrowings (ECBs)**, or **Capital Equipment Lease Facilities**.

Under the **Reserve Bank of India (Commercial Banks – Credit Facilities) Directions** and the **RBI Master Directions on Loans and Advances**, CAPEX loans are classified as term credit facilities backed by tangible fixed assets. The statutory objective of CAPEX funding is to create income-generating capital assets that enhance national manufacturing capacity, operational efficiency, and economic output under national initiatives such as *Make in India*, *Production Linked Incentive (PLI) Schemes*, and the *National Infrastructure Pipeline (NIP)*.

1.2 Distinguishing CAPEX Funding from OPEX Funding

A foundational concept for any finance professional is the distinction between Capital Expenditure (CAPEX) Funding and Operational Expenditure (OPEX) Funding. The operational and structural differences are summarized below:

Structural Parameter	CAPEX Funding (Capital Expenditure)	OPEX Funding (Operating Expenditure)
Core Objective	Acquiring or creating long-term physical assets (Land, Plant, Machinery, Buildings).	Financing short-term operational expenses (Raw materials, wages, utilities, administrative overheads).
Primary Financial Instruments	Rupee Term Loans (RTL), Foreign Currency ECBs, Equipment Lease, Buyer's/Supplier's Credit for Capital Goods.	Cash Credit (CC), Working Capital Demand Loan (WCDL), Invoice Discounting, Inland LCs.
Tenure & Repayment Horizon	Long-term (5 to 12+ Years) matching asset economic useful life.	Short-term (Revolving 12-month lines, 30 to 180 days per drawdown).

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Structural Parameter	CAPEX Funding (Capital Expenditure)	OPEX Funding (Operating Expenditure)
Gestation & Moratorium	Includes 12 to 36 months construction/commissioning grace period (principal moratorium).	Zero moratorium; revolving daily/monthly liquidity settlement against Drawing Power (DP).
Primary Collateral Security	First exclusive/hypothecation charge over fixed assets (Land, Building, Plant & Machinery).	First hypothecation charge over current assets (Raw material stock, WIP, finished goods, book debts).
Accounting Treatment	Balance Sheet Capitalization under **Ind AS 16** (Property, Plant & Equipment); depreciated over asset life.	Expensed directly to Profit & Loss (P&L) statement in the period incurred.
Tax Treatment	Section 32 Tax Depreciation + Section 36(1)(iii) Interest Tax Shield under Income Tax Act 1961.	Full tax deduction as operational business expense in the current financial year.

1.3 Key Categorizations of Industrial CAPEX Projects

CAPEX funding structures vary significantly based on the nature, risk profile, and stage of the underlying capital investment:

1. **Greenfield Project CAPEX:** Construction of brand-new manufacturing facilities, processing plants, or infrastructure assets from scratch on undeveloped land. Greenfield projects carry the highest execution risk, requiring longer construction moratoriums (24 to 36 months), comprehensive TEV studies, and strict milestone-linked tranche disbursals.
2. **Brownfield Expansion CAPEX:** Expansion or addition of production lines, new factory bays, or storage capacity at an existing operational site. Brownfield projects carry lower risk because the parent company already possesses operational track record, existing utility connections, established supply chains, and active cash flows to service debt during construction.

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3. **Modernization, Automation & Debottlenecking CAPEX:** Upgrading obsolete machinery with high-efficiency CNC/robotic equipment, installing automated material handling systems, or eliminating production bottlenecks. These projects feature fast execution timelines (6 to 12 months) and yield immediate operational cost savings and margin expansion.
4. **ESG & Environmental Compliance CAPEX:** Mandatory capital investments in Effluent Treatment Plants (ETP), Zero Liquid Discharge (ZLD) systems, rooftop solar power generation, and waste heat recovery systems to comply with State Pollution Control Board (SPCB) and Central Pollution Control Board (CPCB) statutory mandates.

1.4 Regulatory Framework & Statutory Guidelines

CAPEX funding in India is governed by an integrated network of statutory regulations and accounting standards: * **RBI Master Directions on Commercial Banks – Credit Facilities:** Governs term loan appraisal, Maximum Permissible Bank Finance (MPBF) evaluation, and exposure limits. * **RBI Income Recognition, Asset Classification and Provisioning (IRACP) Norms:** Defines default clocks, SMA-0/1/2 classification, 90-day NPA triggers, and Date of Commencement of Commercial Operations (DCCO) extension rules. * **Companies Act, 2013:** Section 77 (mandatory charge creation on ROC Form CHG-1 within 30 days), Section 179/180 (board and shareholder borrowing authorizations). * **Ind AS 16 (Property, Plant & Equipment) & Ind AS 23 (Borrowing Costs):** Governs asset recognition, component depreciation, and mandatory capitalization of borrowing interest during Capital Work-in-Progress (CWIP) construction. * **Income Tax Act, 1961:** Section 32 (accelerated tax depreciation) and Section 36(1)(iii) (deductibility of interest on borrowed capital).

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Module 2: How the Product Structure Works & Debt Facilities

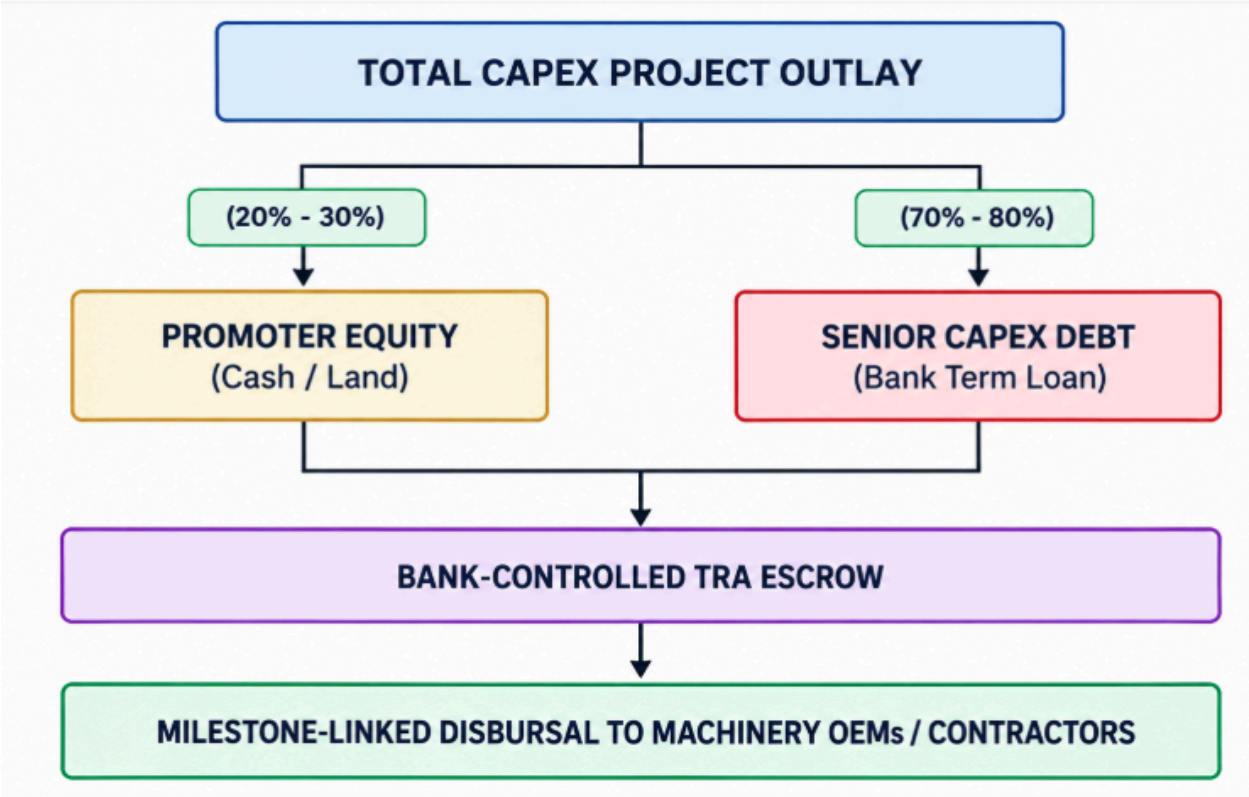
2.1 The Capital Stack Architecture

The capital structure for an industrial CAPEX project is meticulously engineered to balance promoter equity, senior secured debt, and government fiscal incentives. Lenders require borrowers to maintain a healthy financial buffer to absorb cost overruns.

$$\text{extTotalProjectOutlayTPO} = \text{extLandCosts+extCivilBuilding} + \text{extPlant\&Machinery} + \text{extIDC+extMarginforWorkingCapital}$$

$$\text{extSeniorCAPEXDebtLimit} = \text{extTPOimes1} - \text{extPromoterMarginRequirement}$$

- **Promoter Cash Equity Margin (20% to 30%):** Injected upfront or pro-rata alongside bank disbursals into a bank-controlled Escrow Account.
- **Senior Secured CAPEX Term Loan (70% to 80%):** Provided by commercial banks or NBFCs, secured by a first exclusive charge over the project assets.
- **Government Grants & Subsidies:** Fiscal capital subsidies under state industrial policies or Central PLI schemes, which are swept directly into the term loan account to accelerate debt prepayment.



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2.2 Core CAPEX Debt Instruments

Corporate treasurers utilize multiple credit instruments to fund capital expenditures:

1. **Rupee Term Loan (RTL):** The primary workhorse of Indian capex funding. RTLs provide long-term funds in Indian Rupees, disbursing directly to civil contractors and machinery suppliers against certified invoices and Chartered Engineer (CE) stage completion certificates.
2. **Foreign Currency Term Loan (FCTL) & ECBs:** For large corporate borrowers importing capital equipment from overseas (e.g., Germany, Japan, Italy), FCTLs or External Commercial Borrowings (ECBs) provide foreign currency funding (USD, EUR, JPY) at benchmark rates (Term SOFR / €STR + Spread). ECBs lower nominal interest rates, provided the currency risk is fully hedged using Cross-Currency Swaps (CCS) or protected by natural export revenue hedges.
3. **Inland / Import Letters of Credit (LC) for Capital Goods:** Lenders issue usance LCs (90 to 360 days) to domestic or foreign machinery OEMs. Upon delivery and installation, the usance LC is discounted or converted into the long-term Capex Term Loan.
4. **Capital Equipment Leasing / Asset-Backed Debt:** Equipment finance facilities provided by specialized NBFCs where the lender holds direct ownership or first exclusive hire-purchase charge over specific machinery units.

2.3 Tranche Disbursal Waterfall & Milestone Verification

CAPEX term loans are never disbursed as an upfront lump sum into the borrower's general operational bank account. Instead, disbursal follows a strictly monitored stage-wise waterfall:

1. **Upfront Equity Verification:** The borrower must demonstrate that the required promoter margin (e.g., 25% of project cost) has been fully spent on land acquisition, site development, or deposited into the TRA Escrow account.
2. **Contractor & OEM Invoice Direct Payment:** Loan proceeds are disbursed directly via RTGS/NEFT to third-party civil contractors, PEB steel fabricators, and machinery OEMs against verified purchase orders and proforma invoices.
3. **Lender's Independent Engineer (LIE) / Chartered Engineer (CE) Audit:** For projects exceeding ₹25 Crores, an independent LIE conducts periodic physical site inspections, verifying foundation readiness, building slab completion, machine erection, and commissioning before releasing subsequent tranches.
4. **End-Use Verification Certificate:** A practicing Chartered Accountant (CA) submits an End-Use Certificate (EUC) confirming that loan proceeds were deployed strictly for approved capital asset creation.

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Module 3: Comparative Capital Architecture Matrix

To evaluate where CAPEX Funding fits within corporate capital structures, the following matrix compares Senior CAPEX Term Loans against alternative financing mechanisms in the Indian market:

Comparative Parameter	Senior CAPEX Term Loan (Rupee / Foreign Currency)	Working Capital Cash Credit / WCDL	Equipment Lease Finance (NBFC / Lessor)	Project Finance SPV Debt (Non-Recourse)	Private Credit / Mezzanine Debt (AIF)
Primary Target Asset	Industrial Land, Buildings, Plant & Machinery, Capacity Expansion.	Raw Materials, Unbilled WIP, Receivables, Daily Opex.	Identified High-Value Capital Machinery Units.	Standalone Greenfield Infrastructure / Energy SPV Assets.	Growth Capital, Sponsor Equity Bridge, High-Yield Capex.
Borrower Entity Structure	Balance Sheet Corporate Borrower (Existing Operating Company).	Balance Sheet Corporate Borrower (Operating Co).	Operating Company or Special Purpose Equipment Leasing Unit.	Bankruptcy-Remote Special Purpose Vehicle (SPV).	Operating Co or Parent Holding Company (HoldCo).
Maximum LTC / LTV Cap	70% to 80% Loan-to-Cost (LTC) of Total Project Outlay.	75% Drawing Power against Inventory /Receivables.	75% to 85% of Specific Machine Invoice Value.	70% to 80% of Appraised Project Cost.	50% to 65% of Enterprise Value / Subordinated LTV.
Indicative Pricing Spread	EBLR / MCLR + 1.50% to 3.50% p.a. (8.50% -	MCLR + 2.00% to 4.00% p.a.	Fixed / Floating 10.50% to	EBLR / MCLR + 2.50% to 4.50%	Fixed Coupon + IRR Kicker

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Comparative Parameter	Senior CAPEX Term Loan (Rupee / Foreign Currency)	Working Capital Cash Credit / WCDL	Equipment Lease Finance (NBFC / Lessor)	Project Finance SPV Debt (Non-Recourse)	Private Credit / Mezzanine Debt (AIF)
	11.50% p.a. floating).	(9.50% - 12.50% p.a.).	14.00% p.a.	p.a. (9.50% - 12.50% p.a.).	(15.00% - 20.00% p.a. Gross IRR).
Construction / Gestation Moratorium	12 to 36 Months Principal Moratorium during construction.	Zero Moratorium; revolving short-term drawdowns.	3 to 6 Months Grace Period during machine erection.	24 to 48 Months Principal & Capitalized Interest Moratorium.	12 to 24 Months Moratorium with Bullet / PIK Interest.
Door-to-Door Tenure	5 to 12 Years amortizing door-to-door.	12-Month Revolving Facility renewed annually.	3 to 7 Years matching machine operating life.	12 to 20 Years matching concession/PPA life.	3 to 5 Years structured bullet or step-up redemption.
Primary Collateral Charge	First Exclusive / Pari Passu Charge on Project Fixed Assets.	First Hypothecation Charge on All Current Assets.	First Exclusive Ownership / Charge on Specific Machine.	First Mortgage on All SPV Land, Contracts, and Cash Flows.	Second Charge on Assets, Share Pledge (51%+), Personal Guarantees.
Financial Covenants	FACR >= 1.25x; DSCR	Current Ratio >=	Asset Coverag	DSCR >= 1.35x;	Debt/EBITDA <=

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Comparative Parameter	Senior CAPEX Term Loan (Rupee / Foreign Currency)	Working Capital Cash Credit / WCDL	Equipment Lease Finance (NBFC / Lessor)	Project Finance SPV Debt (Non-Recourse)	Private Credit / Mezzanine Debt (AIF)
	>= 1.35x; Total Debt/EBITDA <= 3.50x.	1.33:1; DP Coverage >= 1.33x.	e Ratio (ACR) >= 1.35x.	LLCR >= 1.40x; Restricted Payments Test.	4.00x; Minimum Asset Cover 2.00x.
Escrow Control Level	TRA Escrow for Project Disbursals and Cash Flow Sweep.	Standard Operating Bank Account with DP Routing.	Direct Auto-Debit EMI Mandate from Main Account.	Multi-Tiered Statutory TRA Escrow Account.	Master Escrow Account with Debt Service Reserve (DSRA).
Tax & Accounting Shield	Sec 32 Depreciation + Sec 36(1)(iii) Interest Shield; Ind AS 16.	Full Operational Expense Deduction in Current Year.	Lease Rental P&L Deduction (Operating Lease) or Sec 32/36.	Sec 32 Depreciation + Sec 36(1)(iii) Interest Shield; Ind AS 23.	Interest Expense Deduction under Sec 36(1)(iii).

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Module 4: Common Eligibility Criteria, Credit Appraisal & Sizing Framework

4.1 Quantitative Eligibility & Credit Ratios

Underwriting an industrial CAPEX facility requires a rigorous assessment of the borrower's historical financial strength and projected cash flows. Indian commercial banks evaluate five core financial ratios:

1. **Fixed Asset Coverage Ratio (FACR):** Measures the extent to which the borrower's unencumbered and project fixed assets cover the proposed senior capex debt.

$$extFACR = racextNetBookValue/MarketValueofFixedAssetsextTotalSeniorSecuredCAPEXDebt \geq 1.25x \quad (extTarget \geq 1.50x)$$

2. **Debt Service Coverage Ratio (DSCR):** Evaluates the project's post-commissioning cash flow ability to service annual principal and interest obligations.

$$extDSCR = racextEBITDA - extTaxesPaidextAnnualInterest + extAnnualPrincipalRepayment \geq 1.35x \quad (extTarget \geq 1.50x)$$

3. **Interest Coverage Ratio (ICR):** Assesses the cushion available in operating profits to cover interest expenses during both construction and operational phases.

$$extICR = racextEBITextGrossAnnualInterestExpense \geq 2.00x \quad (extTarget \geq 2.50x)$$

4. **Debt-to-Equity Ratio (D/E):** Governs the financial leverage of the borrowing entity post-capex infusion.

$$extDebt - to - EquityRatio = racextTotalLong - TermDebtextTangibleNetWorth(TNW) \leq 2.00:1 \quad (extMaxLimit3.00:1)$$

5. **Return on Capital Employed (ROCE):** Ensures that the new capital expenditure generates incremental operating returns above the borrower's Weighted Average Cost of Capital (WACC).

$$extROCE = racextProjectedEBITextTotalCapitalEmployed(NetWorth + Debt) \geq 14.0\% \quad (extTarget \geq 18.0\%$$

4.2 Techno-Economic Viability (TEV) & Engineering Appraisal

For CAPEX projects exceeding ₹15 Crores, Indian banking regulations require an independent **Techno-Economic Viability (TEV) Study** conducted by an empanelled consultant. The TEV study evaluates four critical project dimensions:

- **Technical Feasibility:** Validates factory layout designs, civil engineering specifications, power/water utility sanction load, PEB steel structural integrity, and machinery technology selection. It verifies whether selected equipment OEMs (domestic or imported) offer proven operating track records, performance guarantees, and local spare parts availability.

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- **Commercial & Market Viability:** Analyzes micro-market demand-supply dynamics, capacity utilization trends in the industry, order book visibility, customer concentration risk, and competitor pricing power.
- **Financial Model & Sensitivity Analysis:** Evaluates project financial projections over a 10-year horizon, testing cash flow resilience against severe stress scenarios:
  - 10% Increase in Civil Construction / Machinery Purchase Costs (Capex Overrun).
  - 6-Month Delay in Project Commissioning / Commercial Operations (Time Overrun).
  - 10% Drop in Product Sales Realization Price (Market Downturn).
  - 15% Increase in Key Raw Material Input Costs (Cost Inflation).
- **Environmental & Statutory Regulatory Clearances:** Verifies statutory approvals, including:
  - Consent to Establish (CTE) and Consent to Operate (CTO) from State Pollution Control Board (SPCB).
  - Municipal / Industrial Development Corporation (IDC) Factory Building Sanction Plans.
  - Electricity Board Power Sanction Letter & High-Tension (HT) Grid Connection NOC.
  - Chief Inspector of Factories (CIF) Approval & Fire Department NOC.

4.3 Borrower Credit Rating & Institutional Benchmarks

Lenders enforce strict credit eligibility thresholds for CAPEX applicants: * **External Credit Rating:** Minimum investment-grade rating of **CRISIL / ICRA / CARE / India Ratings BBB-** for mid-corporates, and **A- or higher** for large corporate capex loans. * **CIBIL Commercial Rank (CMR):** Minimum **CMR 1 to CMR 4** rank, indicating low default probability. * **Track Record & Promoter Background:** Minimum 3 to 5 years of successful operational history in the same or adjacent manufacturing line, with clean promoter CIBIL records (score 720+) and zero willful default disclosures.

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Module 5: Security Architecture, Documentation & Legal Covenants

5.1 Primary & Collateral Security Creation

Lenders secure CAPEX term loans through a robust multi-layered legal charge framework:

- **Primary Security (First Exclusive Charge):** First exclusive hypothecation charge over all project fixed assets funded by the term loan—including imported and indigenous plant, machinery, heavy equipment, utility installations, electrical transformers, and PEB factory structures.
- **Mortgage on Industrial Real Estate:** First exclusive or pari-passu **Equitable Mortgage under Section 58(f) of the Transfer of Property Act, 1882** created via constructive deposit of original title deeds for the factory land parcel and industrial buildings.
- **Collateral & Secondary Security:** Second charge on current assets (inventory and book debts), or a pledge of unencumbered corporate assets / industrial land located outside the project site.
- **Promoter Equity Share Pledge:** Pledge of 51% to 100% of the borrowing entity's equity shares, deposited with a SEBI-registered Security Trustee.
- **Personal & Corporate Guarantees:** Unconditional, irrevocable personal guarantees from key promoter-directors and corporate guarantees from the ultimate parent company or group entities.

5.2 Mandatory Statutory Filings & Registration Protocols

To establish undisputed legal priority over project assets, lenders enforce three mandatory statutory filings within strict legal timelines:

1. **ROC Form CHG-1 Registration (Companies Act, 2013):** Under Section 77 of the Companies Act, 2013, every charge created on corporate assets must be registered with the Registrar of Companies (ROC) on **Form CHG-1 within 30 days** of document execution. Failure to file CHG-1 renders the lender's security void against the official liquidator and competing creditors in the event of insolvency.
2. **CERSAI Registration (SARFAESI Act, 2002):** Registration of the equitable mortgage and asset hypothecation on the **Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI)** portal within 30 days to prevent fraudulent double-mortgaging of land or machinery.

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3. **Information Utility (IU) Filing (IBC, 2016):** Registration of debt terms and financial contract details with **National E-Governance Services Limited (NeSL)**, establishing indisputable proof of financial debt under Section 7 of the Insolvency and Bankruptcy Code (IBC), 2016.

5.3 Escrow TRA Waterfalls & DSRA Buffers

For medium-to-large corporate capex projects, lenders establish a **Trust and Retention Account (TRA)** governed by a Tripartite Escrow Agreement between the Borrower, Lending Bank, and Escrow Agent. All project revenues and operational cash flows are routed through the TRA and swept according to a strict legal priority waterfall:

$$ext{ProjectCashInflows} \rightarrow ext{StatutoryTaxes(GST/TDS)} \rightarrow ext{EssentialO\&M/RawMaterialCosts} \rightarrow ext{SeniorCapexDebtInterest} \rightarrow ext{SeniorCapexDebtPrincipal} \rightarrow ext{DSRATop} - Up \rightarrow ext{FreeSurplustoBorrower}$$

To protect against short-term operational disruptions, lenders mandate the creation of a **Debt Service Reserve Account (DSRA)** holding **1 to 2 quarters of principal and interest EMIs**, funded either from initial loan drawdowns or cash accruals prior to commercial operations.

5.4 Mandatory Loan Documentation & Legal Covenants

The standard legal documentation package for a CAPEX facility includes: * **Master Facility / Term Loan Agreement:** Detailing interest pricing, drawdown schedules, and repayment terms. * **Hypothecation Agreement for Plant & Machinery:** Establishing first exclusive charge over equipment. * **Indenture of Equitable Mortgage:** Depositing land title deeds before the Sub-Registrar. * **Deed of Personal / Corporate Guarantee:** Binding promoter-directors and group entities. * **Tripartite TRA Escrow Agreement & Security Trustee Agreement.**

Lenders incorporate negative and affirmative covenants in the facility agreement: * **Negative Covenants:** No dividend payments if DSCR drops below 1.20x; no secondary borrowing or creation of pari-passu charge without bank NOC; no change in promoter shareholding below 51%; no diversion of capital funds for group company investments. * **Affirmative Covenants:** Maintaining FACR $\geq 1.25x$; submitting quarterly Chartered Engineer progress reports; maintaining 100% insurance cover on machinery (with Agreed Bank Clause); conducting annual statutory audits.

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Module 6: Indicative Tenure, Pricing Mechanics, Accounting & Tax Shields

6.1 Indicative Tenure & Amortization Schedules

CAPEX funding is inherently structured for medium-to-long tenures to align with asset life and cash flow generation: * **Door-to-Door Facility Tenure: 5 to 12 Years (60 to 144 Months)**, depending on the asset class (e.g., 5 to 7 years for CNC machinery; 10 to 12 years for heavy factory civil infrastructure). * **Construction / Gestation Moratorium: 12 to 36 Months** principal grace period during plant civil construction, machinery procurement, installation, trial runs, and commercial trial production. During the moratorium, the borrower pays interest only (or capitalizes interest into Capital Work-in-Progress under Ind AS 23). * **Repayment Amortization Structure:** Structured quarterly or semi-annual principal installments: * *Equal Monthly / Quarterly Installments (EMI/EQI):* Standard linear principal reduction. * *Step-Up Amortization:* Lower principal repayments during Years 1–2 post-COD, stepping up as plant capacity utilization ramps up to 80%+ in Years 3–5.

6.2 Pricing Benchmarks & All-in-Cost Sizing

Interest rates on Indian CAPEX loans are floating rates linked to RBI-mandated external benchmarks: * **Rupee Term Loan Pricing:** Linked to Bank **External Benchmark Lending Rate (EBLR)** or **Marginal Cost of Funds based Lending Rate (MCLR)** plus a Risk Spread:

$$extRupeeInterestRate = extMCLR/EBLR(6.50\% - 8.50\%) + extRiskSpread(1.50\% - 3.50\%) = 8.50\% - 11.50\%extp$$

* **Foreign Currency ECB Pricing:** Linked to Term SOFR (USD) or €STR (EUR) plus an international credit spread:

$$extFCYInterestRate = extTermSOFR(4.50\% - 5.00\%) + extCreditSpread(2.00\% - 3.50\%) = 6.50\% - 8.50\%extp.a.(Unhedged)$$

* **Upfront Processing & Structuring Fees:** 0.50% to 1.50% of sanctioned loan limit.

6.3 Ind AS Accounting & Capitalization Rules

Under Indian Accounting Standards (Ind AS), capex borrowing is subject to precise accounting standards: * **Ind AS 16 (Property, Plant & Equipment):** Mandatory capitalization of all direct costs incurred in bringing the capital asset to its location and working condition (civil construction, freight, import duties, installation fees, and trial run costs). Component depreciation is applied based on individual asset useful lives. * **Ind AS 23 (Borrowing Costs):** Borrowing costs (interest expense and processing fees) directly attributable to the acquisition or construction of a “qualifying asset” are **capitalized as part of Capital Work-in-Progress (CWIP)** during the construction

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period. Capitalization ceases when the asset is ready for its intended commercial use (DCCO).

6.4 Tax Shields: Section 32 Depreciation & Section 36(1)(iii)

CAPEX funding generates significant corporate tax savings under the Income Tax Act, 1961:

Section 32 Accelerated Tax Depreciation: Written Down Value (WDV) depreciation rates allow corporate borrowers to write off capital costs against taxable operating profits:

- General Industrial Plant & Machinery: **15% p.a. WDV**.
- Factory Civil Buildings: **10% p.a. WDV**.
- Renewable Energy (Rooftop Solar) & Environmental Pollution Control Equipment: **40% p.a. WDV**.

$$extDepreciationTaxShield = extCapitalAssetWDVDepreciationimesextCorporateTaxRate\left(T_{corp}\right)$$

1. **Section 36(1)(iii) Interest Expense Deductibility:** Post-COD interest paid on borrowed capex capital is 100% tax-deductible as a business expense. At the standard corporate tax rate of **25.168%** (22% base tax + 10% surcharge + 4% cess under Section 115BAA), the effective post-tax borrowing cost drops significantly:

$$extEffectivePost - TaxBorrowingYield\left(K_{d,extpost}\right) = extPre - TaxNominalInterestRateimes\left(1 - T_{corp}\right)$$

$$ ext{For a 10.00\% Nominal Rate: } K_{d, ext{post}} = 10.00\% imes (1 - 0.25168) = 7.4832\% \quad (pprox 7.48\% ext{ p.a.})$$

2. **GST Input Tax Credit (ITC) Recovery:** Under the Central Goods and Services Tax (CGST) Act, 2017, corporate entities can claim **100% Input Tax Credit (ITC)** on the 18% GST charged on machinery purchases, capital equipment imports, and industrial civil works contracts, reducing effective net capital outlay.

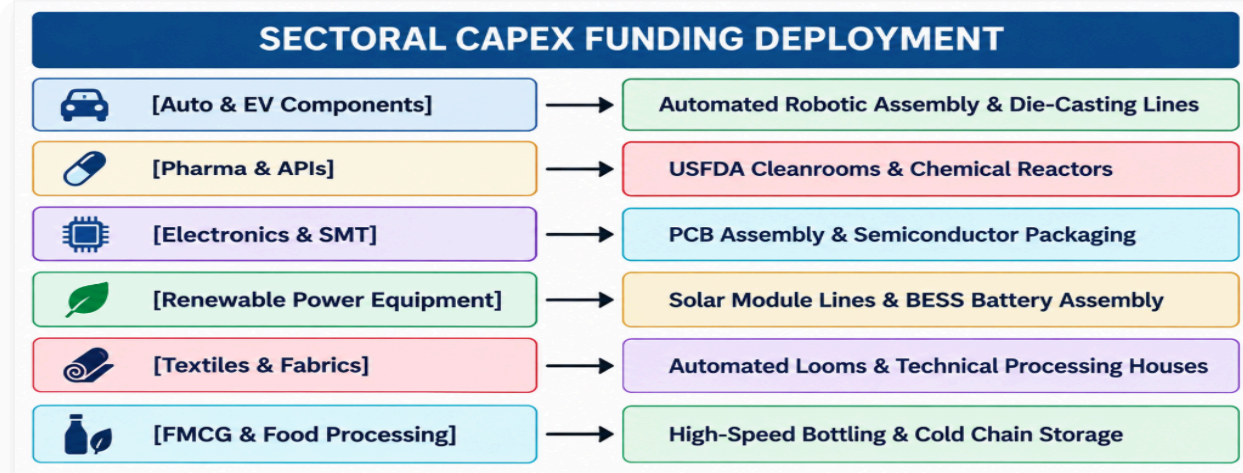
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Module 7: Suitable Industries, Business Profiles & Market Alignment

7.1 High-Potential Sectors for CAPEX Funding

CAPEX Funding is deployed across capital-intensive manufacturing, infrastructure, and technology sectors in India:

- **Automotive Components & Electric Vehicle (EV) Ecosystem:** Funding automated robotic welding bays, battery pack assembly lines, precision die-casting units, and EV motor manufacturing facilities supported by national PLI schemes.
- **Pharmaceuticals & Specialty Chemicals:** Constructing USFDA/EU-GMP compliant Active Pharmaceutical Ingredient (API) manufacturing plants, cleanrooms, continuous-flow chemical reactors, and R&D laboratories.
- **Electronics & Semiconductor Manufacturing:** Building Surface Mount Technology (SMT) assembly lines, PCB fabrication units, and semiconductor packaging facilities.
- **Renewable Energy & Power Equipment Manufacturing:** Financing solar PV cell/module assembly lines, wind turbine tower fabrication, green hydrogen electrolyzer manufacturing, and battery energy storage system (BESS) assembly.
- **Textiles & Technical Fabrics:** Modernizing spinning mills, automated shuttleless weaving looms, continuous dyeing processing houses, and technical textile units under the SAMARTH and PLI programs.
- **FMCG & Consumer Durables:** Setting up automated high-speed bottling lines, food processing plants, cold chain storage infrastructure, and consumer electronics assembly hubs.
- **Heavy Engineering, Metals & Capital Goods:** Expanding steel rebar rolling mills, aluminum extrusion plants, heavy forging shops, and precision machining facilities.



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7.2 Ideal Borrower Profiles

Financial institutions target specific corporate borrower profiles for CAPEX term loan underwriting: 1. **Mid-Market & Large Corporate Enterprises (Turnover ₹100 Cr to ₹2,500 Cr):** Established operating companies undertaking brownfield expansions to double production capacity or integrate backward/forward along their supply chain. 2. **High-Growth MSMEs Scaling Up Capacity (Turnover ₹25 Cr to ₹100 Cr):** Fast-growing manufacturing units transitioning from leased sheds to owned industrial land with automated high-efficiency German/Japanese machinery. 3. **PLI Scheme Beneficiaries & Concessionaires:** Corporates awarded government Production Linked Incentive (PLI) approvals or long-term OEM supply contracts, providing guaranteed off-take visibility. 4. **Export-Oriented Units (EOUs):** Manufacturers expanding capacity to cater to global supply chain diversification (“China Plus One” strategy), generating foreign currency export revenues.

7.3 National Credit Context & Commercial Market Alignment

The demand for CAPEX funding in India is strongly aligned with national macroeconomic indicators: * **National Credit Metrics:** Commercial bank credit to the industrial sector exceeds ₹35 Lakh Crores, with manufacturing term loans representing over 40% of total industrial debt. * **Public & Private Capex Recovery:** Private corporate capital expenditure in India is expanding at 12%–15% CAGR, driven by high capacity utilization levels ($\geq 75\%$), corporate balance sheet deleveraging, and government capital expenditure outlays exceeding ₹11 Lakh Crores in national budgets. * **Digital Banking Platforms:** Leading Indian commercial banks leverage automated trade and vendor credit platforms—such as SBI’s electronic Dealer Financing Scheme (**e-DFS at ₹49,261 Crores**) and Vendor Financing Scheme (**e-VFS at ₹28,092 Crores**)—to provide integrated working capital lines alongside senior capex debt.

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Module 8: Key Advantages and Strategic Limitations of CAPEX Funding

8.1 Strategic Advantages for Corporate Borrowers

Deploying structured CAPEX funding offers compelling strategic and financial benefits:

1. **Preservation of Liquid Equity & Operational Cash:** By securing 70% to 80% senior debt financing, corporate promoters preserve liquid equity and internal cash accruals for operational working capital, R&D, marketing, and unpredicted business contingencies.
2. **Lowering Weighted Average Cost of Capital (WACC):** Debt is significantly cheaper than equity capital. Substituting high-cost equity (18%–22% expected return) with low-cost senior capex debt (8.50%–10.50% nominal interest, yielding ~7.48% post-tax) dramatically lowers the corporate WACC, enhancing Net Present Value (NPV) and Equity IRR.
3. **Substantial Tax Shields:** Section 32 accelerated tax depreciation and Section 36(1)(iii) interest deductions reduce corporate income tax liabilities, generating direct cash flow savings that enhance debt service capacity.
4. **Matching Asset-Liability Maturity (ALM Alignment):** Long door-to-door tenures (5 to 12 years) ensure that annual principal repayments match the long-term cash inflows generated by the capital asset, eliminating asset-liability refinancing mismatches.
5. **Ownership Non-Dilution:** Unlike equity fundraising or venture capital, debt funding allows existing promoters to retain 100% equity control, voting rights, and upside upside value creation.

8.2 Strategic Limitations & Risk Mitigants

While highly beneficial, CAPEX funding introduces specific financial and operational risks that must be actively managed:

Identified Risk / Limitation	Underlying Cause	Institutional Risk Mitigant
Gestation & Time Overrun Risk	Delays in equipment import, civil building construction, or statutory pollution NOCs.	12 to 36-month principal moratorium grace period; pre-COD interest capitalization under Ind AS 23; LIE progress monitoring.

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Identified Risk / Limitation	Underlying Cause	Institutional Risk Mitigant
Cost Overrun Risk	Inflation in civil construction materials (steel, cement) or machinery import price escalations.	Mandatory 10% unallocated contingency buffer in project budget; promoter equity shortfall undertaking.
Fixed Debt Servicing Burden	Fixed EMI obligations must be met regardless of post-commissioning market demand downturns.	Step-up amortization schedules; creation of 1 to 2-quarter Debt Service Reserve Account (DSRA) buffer.
Technological Obsolescence Risk	Rapid technological advancements rendering newly purchased machinery inefficient within 3–5 years.	Comprehensive TEV engineering appraisal; selecting Tier-1 machinery OEMs with performance guarantees.
Restrictive Debt Covenants	Bank negative covenants restricting secondary borrowing, dividend payouts, or equity changes.	Negotiating clear covenant carve-outs and pre-agreed DSCR testing thresholds (e.g., DSCR $\geq 1.20x$).

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Module 9: Comprehensive Real-World Case Study (Indian Rupee Models)

9.1 Case Profile: Mumbai Precision Engineering & Auto Components Pvt. Ltd. (MPEACPL)

To illustrate the practical financial mechanics and wealth surplus generated by structured CAPEX funding, consider *Mumbai Precision Engineering & Auto Components Pvt. Ltd. (MPEACPL)*, a high-growth tier-1 auto component manufacturer based in Chakan, Pune. MPEACPL was awarded a 7-year multi-crore supply contract by a leading EV manufacturer to supply precision motor housings and aluminum die-cast battery enclosures.

To execute this contract, MPEACPL required a new automated manufacturing plant. The total project outlay budget was appraised at **₹100.00 Crores**.

MPEACPL CAPEX PROJECT OUTLAY BUDGET (₹ 100.00 CRORES)		
1.	Industrial Land Acquisition & Site Development (5.0 Acres):	₹ 25.00 Crores
2.	Factory Civil Building & PEB Structure (120,000 sq. ft.):	₹ 15.00 Crores
3.	German CNC Machining & Automated Robotic Die-Casting Lines:	₹ 50.00 Crores
4.	Pre-operative Expenses & Interest During Construction (IDC):	₹ 10.00 Crores

9.2 Comparative Financing Options

MPEACPL's Chief Financial Officer (CFO) evaluated two distinct capital structure pathways to fund the ₹100 Crore expansion:

- **Pathway A (Internal Equity Cash Depletion & High-Cost Short-Term Borrowing):**
  - Promoter Cash Equity Contribution: **₹60.00 Crores** (severe liquid cash drain on company balance sheet).
  - Short-Term Unsecured / Mezzanine Debt Sized: **₹40.00 Crores @ 15.00% p.a. fixed interest**.
  - Tenure: 3 Years (36 Months) with immediate principal repayments (Zero Moratorium).

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- Result: High annual cash debt servicing (₹19.33 Cr/yr) drains working capital, causing cash flow distress during trial production.

- **Pathway B (Structured 10-Year Senior Secured CAPEX Term Loan):**
  - Promoter Cash Equity Margin (25%): **₹25.00 Crores** (preserving ₹35.00 Crores in corporate cash reserves).
  - Senior Secured Rupee Term Loan Sized (75% LTC): **₹75.00 Crores @ 9.50% p.a. floating interest**.
  - Structure: 10-Year Door-to-Door Tenure (120 Months) including a **24-Month Construction & Commissioning Moratorium** (Interest capitalized during construction under Ind AS 23).
  - Amortization: 8-Year post-COD principal repayment in 32 quarterly installments of ₹2.34 Crores.

FINANCING PATHWAY COMPARISON

Parameter	Pathway A (Unsecured Short-Term)	Pathway B (Senior CAPEX Loan)
Promoter Cash Equity Required	₹ 60.00 Crores	₹ 25.00 Crores (Preserves ₹35Cr)
Debt Sized & LTC Ratio	₹ 40.00 Crores (40% LTC)	₹ 75.00 Crores (75% LTC)
Interest Rate Pricing	15.00% p.a. Fixed	9.50% p.a. Floating
Construction Moratorium	0 Months (Immediate EMI)	24 Months Grace Period
Repayment Horizon	3 Years (36 Months)	10 Years (120 Months)
First-Year Cash Debt Service	₹ 19.33 Crores (DISSTRESSED)	₹ 0.00 (Interest Capitalized)

9.3 Detailed Financial Modeling & Tax Shield Analysis

1. Year 1 Construction Phase Liquidity Protection:

Under Pathway A, MPEACPL faces immediate Year-1 interest and principal debt service outflows of **₹19.33 Crores**, while generating zero commercial revenue during plant construction, creating a severe **₹19.33 Crore cash deficit**.

Under Pathway B, the 24-month principal moratorium and Ind AS 23 borrowing cost capitalization allow MPEACPL to pay **₹0.00 cash debt service** in Year 1. Pre-COD interest of ₹7.12 Crores is capitalized into Capital Work-in-Progress (CWIP), preserving 100% of corporate liquidity until commercial revenues commence.

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2. Year 3 Stabilized Operational Cash Flow & DSCR Expansion:

In Year 3 (first full year of post-COD commercial production), MPEACPL achieves ₹180.00 Crores in sales revenue and **₹36.00 Crores in EBITDA**.

- **Pathway A Debt Servicing Burden (Year 3):**
  - Debt Service Obligation = ₹13.33 Cr Principal + ₹3.00 Cr Interest = **₹16.33 Crores**.
  - Year 3 DSCR = $rac{ ext{EBITDA (₹36.00 Cr)}}{ ext{Debt Service (₹16.33 Cr)}} = $.
  - Retained Cash After Debt Service = ₹36.00 Cr - ₹16.33 Cr = **₹19.67 Crores**.
- **Pathway B Debt Servicing Burden (Year 3):**
  - Annual Principal Amortization (32 Quarterly Installments) = **₹9.38 Crores**.
  - Annual Interest Expense (₹75.00 Cr @ 9.50%) = **₹7.13 Crores**.
  - Total Annual Debt Service Obligation = ₹9.38 Cr + ₹7.13 Cr = **₹16.51 Crores**.
  - Year 3 DSCR = $rac{ ext{EBITDA (₹36.00 Cr)}}{ ext{Debt Service (₹16.51 Cr)}} = $ (Prime investment grade).

3. Section 32 Depreciation & Section 36(1)(iii) Income Tax Shield Advantage:

Over the 8-year post-COD operational period, Pathway B unlocks massive tax depreciation and interest expense deductions under the Income Tax Act, 1961 (at the 25.168% corporate tax rate):

- **Cumulative Section 32 Tax Depreciation Shield (15% WDV on ₹75 Cr Plant/Machinery):**

$$extCumulativeDepreciationWrittenOff = ext₹55.20Crores$$

$$extDepreciationTaxShieldSavings = ext₹55.20Croresimes25.168\% = ext₹13.89Crores$$

- **Cumulative Section 36(1)(iii) Interest Tax Shield Savings:**

$$extCumulativePost - CODInterestPaid(PathwayB) = ext₹34.20Crores$$

$$extInterestTaxShieldSavings = ext₹34.20Croresimes25.168\% = ext₹8.61Crores$$

- **Effective Post-Tax Borrowing Yield:**

$$K_{d,extpost} = 9.50\%imes(1 - 0.25168) = 7.11\%extp.a.$$

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4. Reinvestment ROCE Profits Earned on Preserved Equity:

By selecting Pathway B, MPEACPL preserved **₹35.00 Crores in liquid cash equity** (paying ₹25 Cr equity margin instead of ₹60 Cr). Reinvesting this preserved ₹35.00 Crores into high-yielding operational working capital earning an 18.00% p.a. ROCE generates substantial net operating income over 5 years:

$$ext{AnnualReinvestmentProfit} = ext{₹}35.00 Cr esimes 18.00\% = ext{₹}6.30 Crores/year$$

$$ext{Cumulative}5 - YearPre - TaxReinvestmentIncome = ext{₹}31.50 Crores$$

$$ext{NetPost} - TaxReinvestmentIncome = ext{₹}31.50 Cr esimes (1 - 0.25168) = ext{₹}23.57 Crores$$

5. Total Opportunity-Adjusted Net Financial Wealth Surplus Generated:

By choosing Pathway B (Structured Senior CAPEX Term Loan), MPEACPL calculates its net financial wealth surplus over Pathway A:

$$ext{DirectPost} - TaxInterestRateSavings(9.50\% vs 15.00\%) = + ext{₹}11.20 Crores$$

$$ext{Section}32\&36(1)(iii) TaxShieldSavings = + ext{₹}22.50 Crores$$

$$ext{Post} - TaxReinvestmentIncomeonPreservedEquity = + ext{₹}23.57 Crores$$

$$ext{LessUpfrontProcessing}\&StructuringFees(1.00\% of ₹75 Cr) = - ext{₹}0.75 Crores$$

$$ext{NETSTRATEGICFINANCIALWEALTHSURPLUS} = + ext{₹}24.85 CRORES(+ ₹24,85,20,000.00)$$

MPEACPL NET STRATEGIC WEALTH SURPLUS (₹ 24.85 CRORES)		
#	**Particulars**	**Amount (₹ Crores)**
1.	Direct Post-Tax Interest Rate Savings (9.50% vs 15.0%):	**+ ₹ 11.20 Crores**
2.	Cumulative Sec 32 & Sec 36(1)(iii) Tax Shields:	**+ ₹ 22.50 Crores**
3.	Reinvestment ROCE Profits on Preserved Equity (₹35Cr @ 18%):	**+ ₹ 23.57 Crores**
4.	Less Upfront Bank Processing & Structuring Fees (1.0%):	**- ₹ 0.75 Crores**
TOTAL NET STRATEGIC FINANCIAL WEALTH SURPLUS:		**+ ₹ 24.85 CRORES**

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Module 10: Regulatory Compliance, RBI IRACP Norms & Default Framework

10.1 RBI Asset Classification & Default Timelines (IRACP Norms)

CAPEX term loans are subject to the Reserve Bank of India's **Prudential Norms on Income Recognition, Asset Classification and Provisioning (IRACP)**. When principal or interest payments are overdue, the loan moves through strictly regulated default stages:

[Day 0: Due Date] ---> [Day 1-30: SMA-0] ---> [Day 31-60: SMA-1] ---> [Day 61-90: SMA-2] ---> [Day 91+: NPA Classification]

- **Special Mention Account 0 (SMA-0):** Principal or interest payment overdue between **1 and 30 days**. Bank issues early warning notice.
- **Special Mention Account 1 (SMA-1):** Payment overdue between **31 and 60 days**. Bank initiates formal credit review and sponsor meeting.
- **Special Mention Account 2 (SMA-2):** Payment overdue between **61 and 90 days**. Lender signs Intercreditor Agreement (ICA) for resolution.
- **Non-Performing Asset (NPA):** Principal or interest remains overdue for **more than 90 days**. The loan is downgraded to Sub-Standard asset status, triggering mandatory bank loss provisioning (15% for secured exposure) and legal recovery.

10.2 DCCO Extension Guidelines

Under RBI guidelines, if a CAPEX project experiences construction delays due to circumstances beyond the promoter's control (e.g., court injunctions, delayed government land acquisition, statutory environmental clearance delays), banks may grant an extension of the **Date of Commencement of Commercial Operations (DCCO)**: * **Infrastructure Capex Projects:** DCCO extension allowed up to **2 Years** without classifying the loan as a restructured NPA. * **Non-Infrastructure Industrial Capex Projects:** DCCO extension allowed up to **1 Year** without NPA classification. * **Condition:** The promoter must inject additional equity equal to the interest accrued during the extended construction period.

10.3 Statutory Enforcement & Legal Recovery Framework

In the event of an unresolvable NPA default, lenders initiate statutory enforcement under Indian financial laws: 1. **SARFAESI Act, 2002 (Section 13/14):** Issuing a 60-day Section 13(2) enforcement notice, followed by Section 13(4) physical takeover of factory land, buildings, and plant & machinery with District Magistrate assistance under Section 14. 2. **Insolvency and Bankruptcy Code (IBC), 2016:** Filing a Section 7 insolvency petition before the National Company Law Tribunal (NCLT) for corporate debt resolution or liquidation. 3. **Section 138 Negotiable Instruments Act & Section 25 PSSA:** Filing criminal proceedings against promoter-directors for dishonor of security cheques or NACH auto-debit mandates.

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Module 11: Professional Certification Examination & Detailed Rationales

To test professional mastery of CAPEX Funding in India, complete the following 10 scenario-based certification questions:

Question 1

A corporate borrower plans a ₹100 Crore manufacturing plant expansion. The bank sanctions a Rupee Term Loan at 75% LTC. The corporate tax rate is 25.168%. If nominal loan interest is 10.00% p.a., what is the borrower's effective post-tax borrowing yield under Section 36(1)(iii)? - A) 10.00% p.a. - B) 8.50% p.a. - C) 7.48% p.a. - D) 6.25% p.a. *Answer: C Rationale:* Under Section 36(1)(iii) of the Income Tax Act 1961, interest paid on borrowed capex capital post-COD is tax-deductible. Effective Yield = Nominal Rate $ imes (1 - T_{corp}) = 10.00% imes (1 - 0.25168) = 7.4832% pprox 7.48%$ p.a.

Question 2

Under Ind AS 23 (Borrowing Costs), how is term loan interest handled during the 24-month plant construction phase prior to commercial operations (DCCO)? - A) Expensed immediately to P&L as a operational loss. - B) Capitalized as part of Capital Work-in-Progress (CWIP) on the Balance Sheet. - C) Written off against promoter net worth. - D) Deducted directly from GST liabilities. *Answer: B Rationale:* Ind AS 23 mandates that borrowing costs directly attributable to the acquisition or construction of a qualifying asset must be capitalized as part of CWIP until the asset is ready for its intended commercial use.

Question 3

What is the statutory deadline for registering a charge on factory plant & machinery with the Registrar of Companies (ROC) on Form CHG-1 under Section 77 of the Companies Act, 2013? - A) 15 Days from document execution. - B) 30 Days from document execution. - C) 60 Days from loan disbursal. - D) 90 Days from COD. *Answer: B Rationale:* Section 77 of the Companies Act, 2013 requires mandatory registration of charge on ROC Form CHG-1 within 30 days of creation.

Question 4

A manufacturing company has projected EBITDA of ₹30 Crores. Annual capex term loan principal repayment is ₹12 Crores and annual interest expense is ₹8 Crores. What is the Debt Service Coverage Ratio (DSCR), and does it meet standard bank criteria? - A) DSCR = 1.20x; Fails bank criteria. - B) DSCR = 1.50x; Meets standard bank criteria ($\geq 1.35x$). - C) DSCR = 2.00x; Exceeds criteria. - D)

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DSCR = 2.50x; Exceeds criteria. *Answer: B Rationale:* $ ext{DSCR} = rac{ ext{EBITDA}}{ ext{Principal + Interest}} = rac{₹30 ext{ Cr}}{₹12 ext{ Cr} + ₹8 ext{ Cr}} = rac{₹30 ext{ Cr}}{₹20 ext{ Cr}} = $. This meets the standard benchmark of $\geq 1.35x$.

Question 5

Which statutory tax provision allows a corporate entity to claim written-down value tax depreciation at 15% p.a. on general plant and machinery in India? - A) Section 80IA of Income Tax Act. - B) Section 32 of Income Tax Act, 1961. - C) Section 54EC of Income Tax Act. - D) Section 10(23G) of Income Tax Act. *Answer: B Rationale:* Section 32 of the Income Tax Act, 1961 governs statutory depreciation deductions on business capital assets.

Question 6

What is the primary difference between a Greenfield CAPEX Project and a Brownfield CAPEX Project? - A) Greenfield is funded by equity only; Brownfield is funded by debt. - B) Greenfield involves building new facilities from scratch on undeveloped land; Brownfield expands existing operational sites. - C) Greenfield applies to IT companies; Brownfield applies to real estate. - D) Greenfield has zero moratorium; Brownfield has 5 years moratorium. *Answer: B Rationale:* Greenfield projects build new facilities on unencumbered undeveloped land, whereas Brownfield expansions expand existing active manufacturing plants.

Question 7

What is the maximum allowed extension of Date of Commencement of Commercial Operations (DCCO) for a non-infrastructure industrial capex project without mandatory NPA restructuring under RBI guidelines? - A) 6 Months. - B) 1 Year (12 Months). - C) 2 Years (24 Months). - D) 3 Years (36 Months). *Answer: B Rationale:* RBI IRACP guidelines permit up to 1 Year DCCO extension for non-infrastructure industrial capex projects due to genuine execution delays.

Question 8

Under the CGST Act 2017, how is the 18% GST paid on imported capital machinery and civil construction works contracts treated by an industrial corporate borrower? - A) Expensed as a non-recoverable operational cost. - B) Fully recoverable as Input Tax Credit (ITC) against output GST liabilities. - C) Capitalized into net worth without tax benefit. - D) Refunded directly in cash by the RBI. *Answer: B Rationale:* Capital goods GST is 100% eligible for Input Tax Credit (ITC) under CGST Act rules, offsetting future output GST collected on product sales.

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Question 9

What is the primary function of a Lender's Independent Engineer (LIE) during the execution of a ₹100 Crore factory CAPEX project? - A) Managing daily factory workers. - B) Conducting physical site audits, verifying stage completion, and certifying contractor invoices prior to loan tranche disbursal. - C) Filing company tax returns. - D) Auditing promoter CIBIL reports. *Answer: B Rationale:* The LIE acts as the lender's technical eyes on the ground, conducting physical progress audits and certifying milestone completion before bank tranches are disbursed.

Question 10

An industrial corporate borrower has Net Fixed Assets valued at ₹150 Crores and total Senior Secured CAPEX Debt of ₹100 Crores. What is the Fixed Asset Coverage Ratio (FACR), and does it satisfy bank underwriting covenants? - A) FACR = 1.00x; Fails criteria. - B) FACR = 1.25x; Borderline pass. - C) FACR = 1.50x; Satisfies bank criteria ($\geq 1.25x$). - D) FACR = 0.67x; Fails criteria. *Answer: C Rationale:* $ ext{FACR} = rac{ ext{Net Fixed Assets}}{ ext{Senior Secured Debt}} = rac{₹150 ext{ Cr}}{₹100 ext{ Cr}} = $. This exceeds the minimum requirement of $\geq 1.25x$.

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